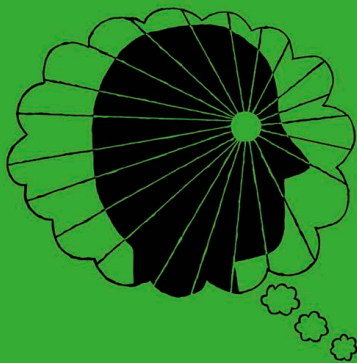




THE DAMAGES SHOULD BE FAIRLY CONSIDERED

HADLEY V. BAXENDALE (1854)

IN CONTEXT

FOCUS

Contract law

BEFORE

531 CE The *duplum* ("double") rule in Roman law under Byzantine emperor Justinian I states that the amount of damages should be limited to twice the contract obligation.

1839 In the *Blanchard v. Ely* case, a US court cites French civil law as a precedent for the rule of foreseeability in awarding damages in breach of contract cases.

AFTER

1949 An English court rules that "reasonably foreseeable" means "ordinary" but not "extraordinary" loss of profits, in *Victoria Laundry (Windsor) Ltd. v. Newman Industries Ltd.*

1980 The United Nations Convention on Contracts for the International Sale of Goods sets out an internationally adopted rule of foreseeability.

According to the ***Hadley v. Baxendale*** ruling, **damages for breach of contract** can be recovered in either of these two circumstances:

Where the loss could **reasonably be considered to arise naturally** from the breach.

Where the loss could reasonably have been **contemplated by both parties** when the contract was made.

The ruling of an English court of appeal in the 1854 case of *Hadley v. Baxendale* proved to be influential in the development of modern contract law. The case hinged on whether a defendant in breach of contract can be held liable for damages arising from a loss of earnings incurred as a result of the breach if the defendant was not made aware of such a possibility when the contract was signed.

Joseph and Jonah Hadley were proprietors of the City Steam-Mills in Gloucester, which processed

grain. The crankshaft of the mill's steam engine had broken and had to be replaced. While it was out of action, the mill had to shut, losing the brothers business, so they urgently required a replacement.

The Hadleys ordered a new crankshaft from engineers W. Joyce & Co. in Greenwich, London, and contracted the carriers Pickford & Co. (owned by Joseph Baxendale) to take the broken crankshaft to the manufacturers the next day so that a new one could be cast. Although a clerk at Pickford & Co. assured the brothers' servant that, if sent by